

Second and Third Causes of Action (Intentional and Negligent Misrepresentation)

The second and third causes of action allege that, prior to the sale, Defendants In Joo Chung and James Chung (collectively, the “Chung Defendants”) orally misrepresented that the Restaurant’s existing hood system was adequate and lawful for grilling meats and other grease-laden foods; that the Restaurant was fully compliant with all health and safety regulations; that the business as operated could continue without interruption or modification; and that the equipment listed in the Bill of Sale, including two photo booths, was functional and included in the purchase. (FAC ¶¶ 58-59, 76-77.) The third cause of action alleges the Chung Defendants had no reasonable grounds to believe these representations to be true. (FAC ¶ 78.)

The elements of a cause of action for fraud are: (i) misrepresentation; (ii) defendant’s knowledge of the statement’s falsity; (iii) defendant’s intent to defraud; (iv) plaintiff’s justifiable reliance; and (v) resulting damage. (*Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 230-231; Witkin Summary of Cal Law, Torts § 676.) Fraud must be pleaded with specificity. (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, superseded by statute on another ground as stated in *California for Disability Rights v. Mervyn’s, LLC* (2006) 39 Cal.4th 223, 227.) California’s heightened pleading rule serves two purposes: (1) to put the defendant on notice, to “furnish [it] with certain definite charges which can be intelligently met”; and (2) to weed out nonmeritorious actions. (*Id.*)

The elements of a cause of action for negligent misrepresentation are: (i) A false statement of material fact that the defendant honestly believes to be true, but made without reasonable grounds for such belief; (ii) made with the intent to induce reliance; (iii) plaintiff’s reasonable reliance on the statement; and (iv) damages. (*Century Surety Co. v. Crosby Ins.* (2004) 124 Cal.App.4th 116, 129.) Negligent misrepresentation must be alleged with the same particularity required to plead fraud. (*Small v. Fritz Cos Inc.* (2003) 30 Cal.4th 167, 184.) The pleading must allege how, when, where, to whom and by what means the representations were tendered. (*Id.* at 184.)

Here, the FAC does not allege with sufficient specificity which defendant made the alleged misrepresentations, where, and when.

		Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiff shall file and serve the amended complaint within 30 days of service of the notice of ruling. Defendants to give notice.
4	Garcia De Jaimes vs. ST. John Knits, Inc.	TENTATIVE RULING: <u>Motion to Compel Arbitration</u> Defendant St. John Knits, Inc. moves to compel arbitration of the claims asserted by Plaintiff Elizabeth Garcia De Jaimes. For the following reasons, the unopposed motion to compel arbitration is GRANTED. Both the Federal Arbitration Act (“FAA”) and the California Arbitration Act (“CAA”) require the existence of a valid arbitration agreement, before arbitration can be compelled. (See 9 U.S.C. § 2 and Code Civ. Proc., § 1281.2.) Under either authority, the moving party bears the burden of proving the existence of an applicable agreement and the party opposing arbitration bears the burden of proving any defense. (See <i>Engalla v. Permanente Medical Group, Inc.</i> (1997) 15 Cal.4th 951, 972 [“The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense”]; See also <i>Installit, Inc. v. Carpenters 46 Northern California Counties Conference Board</i> (N.D. Cal. 2016) 214 F.Supp.3d 855, 859 [“The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense....”].) Defendant has provided evidence of an Arbitration Provision in the Motor Vehicle Order Agreement and Retail Installment Sale Contract that is undisputed by Plaintiff. (Kim Dec., ¶¶ 3-11 and Exs. 1 and 2.) In determining whether a contractual arbitration clause covers a particular dispute, the primary focus is on whether the clause at issue is “broad” or “narrow.” (<i>Bono v. David</i> (2007) 147 Cal. App. 4th 1055, 1067.) In determining the scope of an arbitration clause, trial courts attempt to give effect to the parties’ expressed intentions. (<i>Victoria v. Superior Court</i> (1985) 40 Cal. 3d 734, 744.)